



Deutsche Bank  
Research

# How Q3's emerging themes shape the coming 12 months

1 Oct 2026

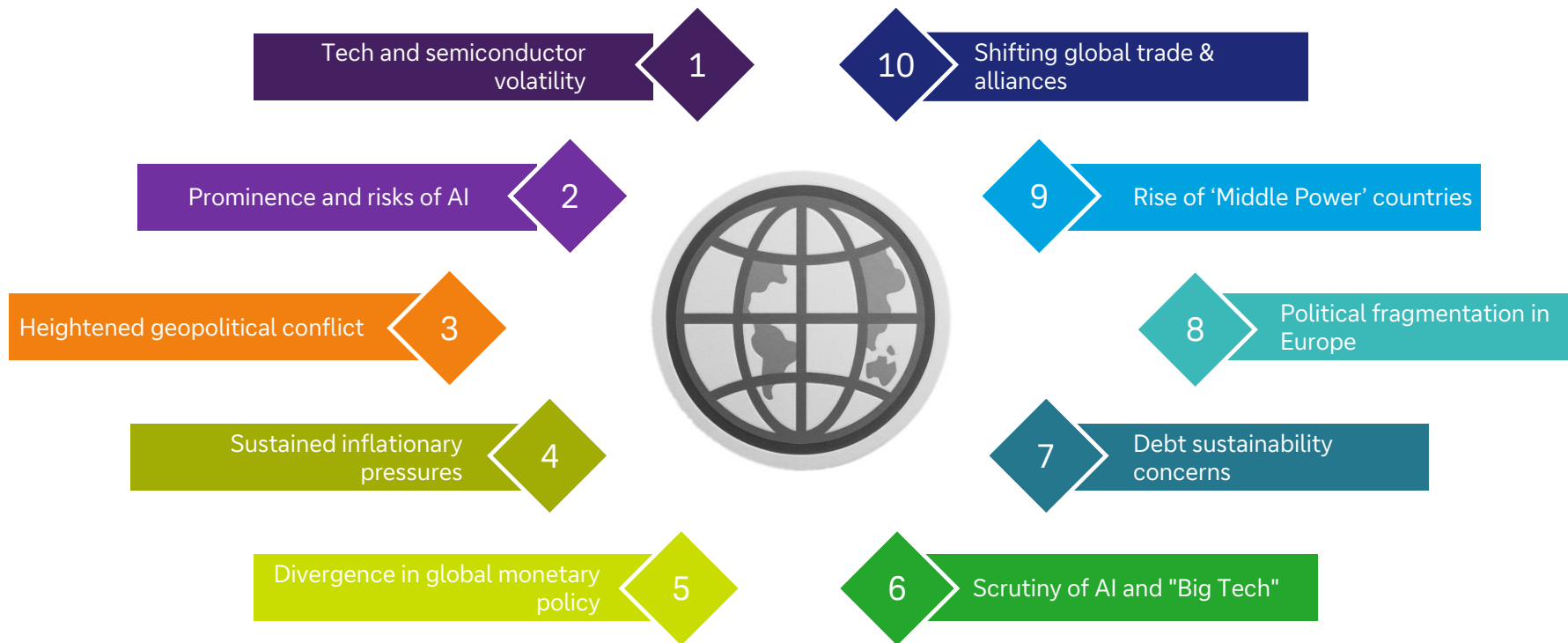
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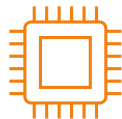
IMPORTANT RESEARCH DISCLOSURES LOCATED IN APPENDIX 1.

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# The themes that drove markets in Q3 – based on AI analysis of our daily market commentaries and asset prices



# dbLumina's estimate of how each key theme in Q3 impacted the S&P 500



## Chip volatility

The extraordinary moves in Korean chipmakers drove material but more muted trading in the US



## AI existential risks

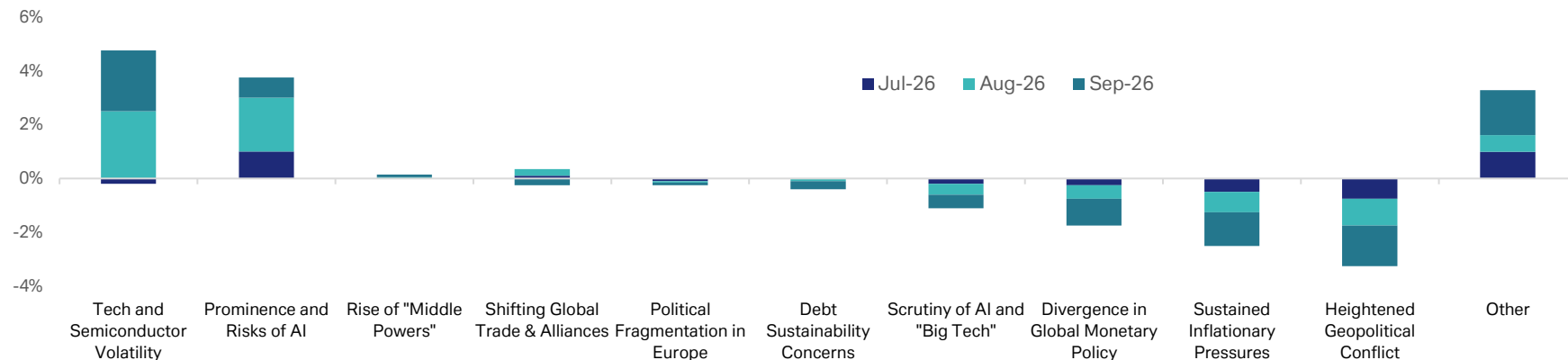
The AI doom discussion also raised the prominence of AI business models



## Geopolitical conflict

The market has finally realised there are no easy exit routes with Iran

### Impact of key themes on the S&P 500 in Q3



Source: Factset, Deutsche Bank

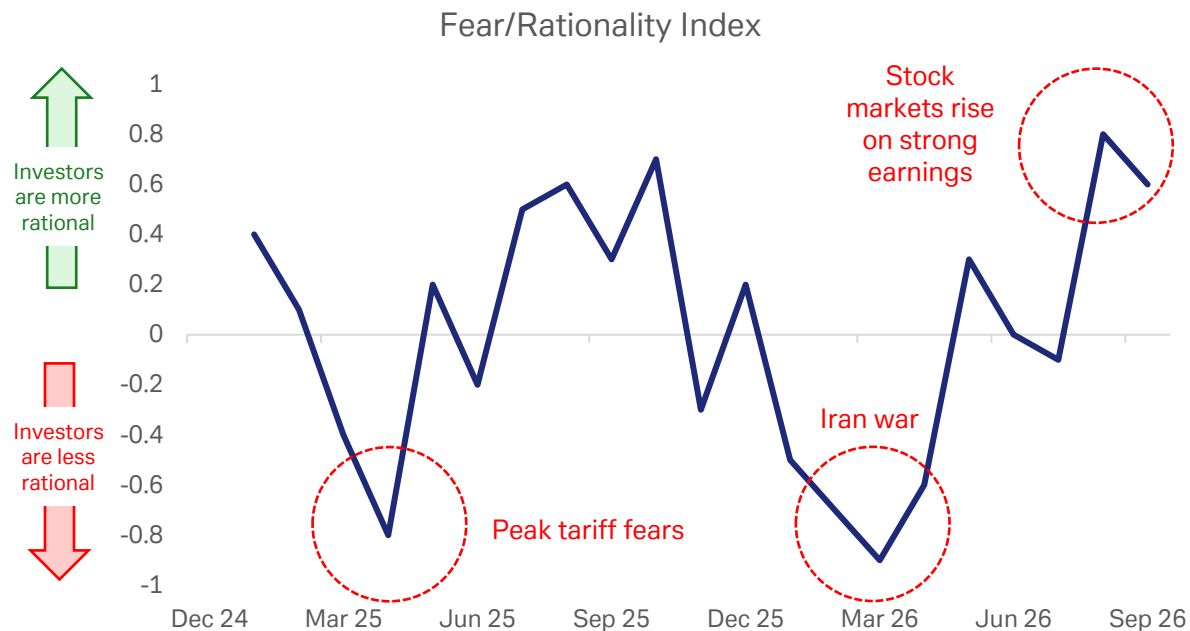
## Are investors rational?

The stock market strength and resilience over the last 3 months appears to be a rational response to strong earnings and only limited signs that higher energy prices are materially affecting broad corporate profits.



Our dbLumina gauge indicates investors have been irrational during market drops and periods of geopolitical tensions

What does it mean to be 'rational'?



Source: Factset, Deutsche Bank

### Risk-off periods:

The tariff fears in 2025 and then the Iran war in 2026 were key buying opportunities in equity markets. Yet, the overwhelming fear exhibited by investors in these periods largely meant they sold off risk assets in an emotional and irrational response.

### Risk-on periods:

It can be rational to buy into a rising market. Our indicator suggests this is what happened in Q3 as earnings growth continued to be strong.

### Fear Indicators:

Sharp, disproportionate reactions to threats, widespread sell-offs on announcements, panic, flight to safety beyond what might be fundamentally warranted.

## Emotions cooled as 'rational' investing took over

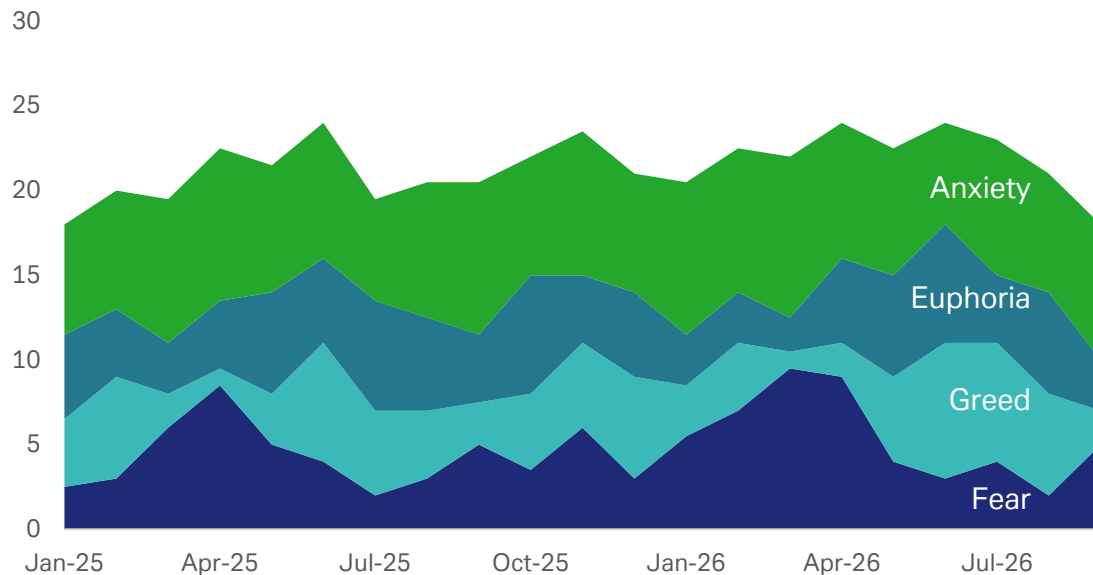
Lower realised volatility in markets in Q3 helped clam emotional market responses. That indicates investors are detaching from the volatile macro and geopolitical backdrop



### Emotion dipped markedly in Q3

### Month-by-month

The impact of investor emotions on global markets



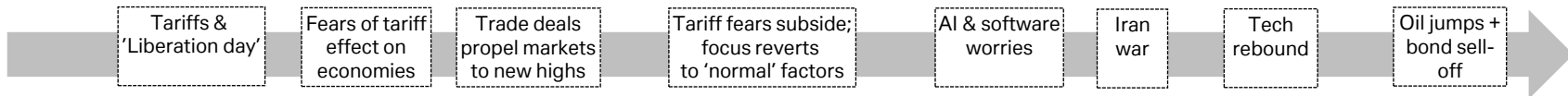
Source: Factset, Deutsche Bank

July 2026: A fear-driven sell-off in semiconductor stocks, particularly in Korea, was balanced by optimism from strong earnings reports from major tech firms and a significant drop in oil prices.

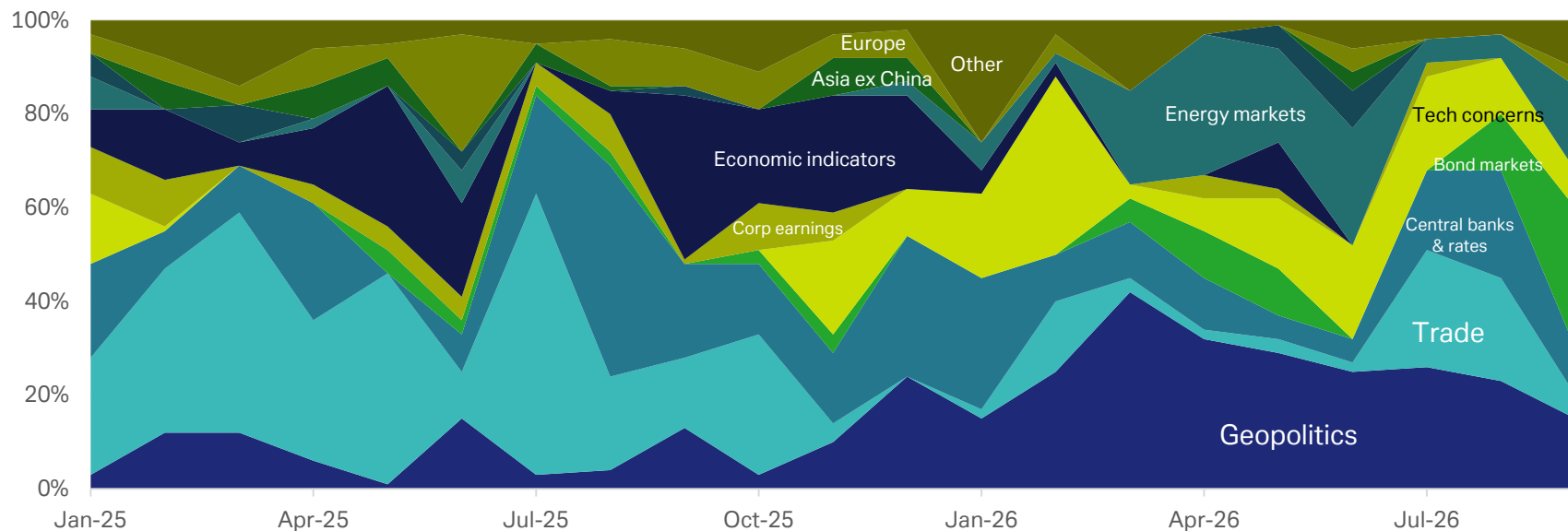
August 2026: An easing in inflation pressures lowered expectations of Fed rate hikes and supported a rally in Treasury markets. Strong corporate earnings season and signs of de-escalation in the Middle East

September 2026: Rising energy prices and renewed uncertainty in the Middle East fuelled a sell-off in global sovereign bonds. Concerns about debt sustainability and hawkish central bank commentary weighed on equity markets despite some encouraging economic signals.

# Our AI analysis shows how groups of themes have driven markets over time



The themes that impacted markets each month



Source: Deutsche Bank

## Our gauge of investor sentiment uses AI to interpret macro, economic, and market signals

This is our response to the fact that so many confidence indices today fail to reflect technological and social megatrends that now affect markets. Our sentiment indicator is nowhere near as bad as some others.



The volatile sentiment in Q3 drove some heady jumps and drops in AI-linked equities and, thus, broader markets. A positive sign is that sentiment has dropped below last year's average even though the S&P 500 is broadly steady

dbLumina investor sentiment indicator vs S&P 500



Source: Factset, Deutsche Bank

# Evolving risks: AI can be more objective than a human. Thus, we ask it to analyse our daily market commentaries and asset prices to determine the top broad-based risks in markets

The top-4 are obvious; but sudden market dislocations happen when non-obvious risks arise. Risks 5-10 are acknowledged but simply not priced in



1

Stagflationary shock from energy prices & geopolitics



2

Sovereign debt crisis & contagion



3

Escalation of the US-Iran conflict



4

AI & technology sector dislocation



5

Central bank policy error



6

US-China geopolitical & trade re-escalation



7

Yield curve inversion & recession signal



8

Fracturing of Western alliances (NATO/G7)



9

Cybersecurity & critical infrastructure attacks



10

US political instability & government shutdown



## 1 Geopolitical fragmentation of global reserve assets

A reallocation of global sovereign reserve assets is accelerating, spurred by geopolitical uncertainty and the fear of trade and financial sanctions. Notably, central banks are repatriating their physical assets, such as the Dutch and French central banks which have recently moved gold reserves out of New York. Furthermore, a World Gold Council survey reveals that 45% of global central banks plan to increase their gold reserves over the next 12 months.

**What the market underestimates:** The market views the recent surges in gold prices as temporary, cyclical safe-haven flows. In reality, sovereign institutions are structurally preparing for a more fragmented global trade system where tariff policies and sanctions may make dollar-clearing assets more difficult.

### Impact on key factors in our megatrend model:

**Interest rates:** At a time when the "world is awash in debt", long-term interest rates of some countries may be forced structurally higher to attract alternative private capital.

**Inflation:** Unexpected dollar depreciation may increase the cost of imported goods

**Equity Prices:** High-growth US equity valuations, which are highly sensitive to the long-term risk-free rate, may face multiple compression if bond yields are pushed higher.

## 2 The AI "sameness" trap and the productivity stagnation

The market currently prices in a material, long-term GDP boost from AI-driven productivity gains. However, some research from the IMF suggests that over-reliance on standardised LLMs can produce a high degree of "sameness" and uniformity in cognitive output. Furthermore, escalating intellectual property and copyright litigation threaten to bifurcate the quality of AI models based strictly on developers' licensing budgets.

**What the market underestimates:** Some investors assume that the exponential curve of AI hardware capabilities translates directly into exponential economic output. But there is a risk that if AI tools merely standardise corporate processes rather than innovate them, and legal barriers restrict access to premium data, the productivity boom may be less aggressive than expected.

### Impact on key factors in our megatrend model:

**GDP growth:** Structural growth ceiling if AI fails to deliver the multi-percentage point boost to global productivity required to offset aging demographics.

**Equity prices:** A downward revaluation of the technology and software sector if massive AI infrastructure expenditures fail to generate revenue according to existing expectations.



3

### The fragmentation of the EU's political centre

Advanced economies are facing a dual demographic crisis: rapidly aging populations and underfunded pension systems. This is forcing some older people to remain in or re-enter the workforce out of financial necessity rather than choice.

**What the market underestimates:** Lower unemployment rates are celebrated as a sign of economic strength. However, in structurally ageing societies like Japan and parts of Europe, the growth of the labour force is increasingly driven by part-time, older workers. Furthermore, G20 nations lack adequate, cohesive policy frameworks to address these long-term demographic fiscal drains.

#### Impact on key factors in our megatrend model:

**Inflation:** An older workforce working out of necessity has less discretionary spending power, potentially locking economies into persistent, structural demand-side deflationary forces, offset by supply-side wage pressures in highly skilled sectors.

**GDP growth:** Labour productivity growth that is lower than it might otherwise be as the median age of the workforce climbs, limiting long-term potential GDP.

4

### Critical mineral isolationism and 'green' supply chain blockades

The geopolitical battleground is focussed on energy blockades (such as the Strait of Hormuz) but underestimates the weaponisation of critical minerals. China currently holds 'escalation dominance' over rare-earth mineral supply chains. The emerging risk is the proactive restriction of these minerals to Western firms, such as recent bans on supplying rare-earth inputs to some US firms.

**What the market underestimates:** The market treats rare-earth supply constraints as temporary trade spat negotiation tactics. In reality, as Western nations aggressively push for reshoring and friend-shoring, China is increasingly using its processing monopoly as a long-term strategic blockade to try to slow Western high-tech, defence and the energy transition.

#### Impact on key factors in our megatrend model:

**Inflation:** Upwards pressure on inflation as the cost of manufacturing electric vehicles, semiconductors, and advanced electronics surges due to supply blockades and the high capital cost of rebuilding localised processing facilities.

**Interest rates:** Central banks may be forced to keep policy rates higher to combat the persistent supply-side inflation generated by supply-chain fragmentation.

## Emerging themes – part 1

Our dbLumina AI model helps us identify the key emerging themes that have the potential to most impact markets and economies in the short term



1

### AI's impact on geopolitics and national security

While the previous focus was on the AI hardware squeeze and commercial competition, the narrative is shifting towards AI's role as a critical component of national security and geopolitical leverage.

- **AI access:** We see this in President Trump's framing of AI development as a geopolitical race ("whoever wins AI wins").
- **AI as a bargaining chip:** Several examples over the last 12 months including the 2025 deal whereby AMD agreed to pay 15% of sales from certain AI chips to the US government in exchange for an export license. Even if these deals change, the trajectory is one where access to AI technology is tied to national economic and security interests.
- **Direct military & security applications:** Several examples including, cyberattacks on critical infrastructure (such as a UK power plant), the use of AI in developing "exceptional" phages to fight E.coli, and the growing field of AI security discussions.

**Outlook:** Expect more government intervention, the use of AI technology access as a tool in diplomatic negotiations, and a greater focus on the dual-use nature of AI in both commercial and military contexts. This will likely create regulatory and operational uncertainty for tech firms.

2

### The fracturing of multilateralism and the rise of "Middle Power Countries"

The trend of reshoring is evolving into a more proactive diplomatic strategy where nations are forming new, often transactional, alliances to navigate a world less dominated by a single superpower.

- **Proactive alliance building:** Canadian Prime Minister Carney has been front and centre making his first international trip to France and the UK in an effort to diversify away from traditional reliance on the US. That follows other key meetings between Japan and India, and more.
- **Bypassing traditional powers:** Greenland signalled its willingness to turn to China for investment if Western countries do not provide support, reinforcing the leverage of some smaller nations.
- **Shifting security arrangements:** The US pushed for a 'reassurance force' in Ukraine, while French President Macron hosted a "coalition of the willing" to discuss Europe's defence without US guarantees. Further examples include the discussion of a Franco-German "nuclear sharing" arrangement.

**Outlook:** The assumptions of a bipolar world order is giving way to a more complex, multi-nodal system. This will create greater emphasis on regional blocs and issue-specific coalitions. The stability of traditional alliances like NATO and the G7 remain deeply uncertain.

## Emerging themes – part 2

These four key themes dbLumina identifies are sometimes 'known' by investors, however, they may be underestimated by the market, particularly when there are some potentially series longer-term impacts



3

### The return of global bond vigilantes

Previous talk of “sovereign fiscal fragility” has now manifested itself into a severe market reaction. Although fears around government debt and deficits pop up from time to time, the magnitude of September’s bond sell-off has been compounded by oil price concerns

- **Accelerating sovereign sell-off:** Concerns about inflation and debt sustainability are not new but the peaks in bond yields are. Yields on 10-year Treasuries, bunds, and gilts all rose sharply, with bunds hitting their highest level since 2009.
- **Fiscal policy as a direct market catalyst:** The market is increasingly sensitive to fiscal policy announcements. For example, in the UK postponed tax rises, led to a spike in gilt yields. Similarly, France’s political turmoil and concerns over its budget deficit caused the Franco-German yield spread to widen significantly.
- **The “awash in debt” narrative:** Treasury Secretary Bessent’s comment at the G20 that “The world is awash in debt” signalled that the issue is increasingly top-of-mind for policymakers.

**Outlook:** Markets will be increasingly quick to punish any perceived fiscal irresponsibility. Expect higher borrowing costs, currency volatility, and increased risk of financial instability, especially for countries with high debt levels.

4

### The bifurcation of economies: corporate resilience vs. consumer strain

The strain in the US consumer and labour markets is now diverging sharply from the health of large corporations, reinforcing the K-shaped economy.

- **Strong corporate performance:** Earnings season for Q2 showed remarkably solid global growth, and the resilience of large corporations was a recurring theme that helped support equity markets despite other headwinds.
- **Weak consumer & labour signals:** Economic reports have showed some signs of a weakening labour market, falling consumer confidence, and stress among low-income Americans. The New York Fed’s survey also showed households expect a worse financial situation.
- **Policy and market disconnect:** While strong corporate performance depends on a robust economy, the underlying consumer weakness is concerning. Expect the market to continue its twitchy reaction to data, as investors struggle to reconcile these conflicting signals.

**Outlook:** This theme is potentially the most consequential for the domestic US economy. If corporate profits and equity markets “detach” from the real economy as consumers perceive it, it could lead to significant social and political instability, making economic policy even more difficult to navigate.

## The impact of today's themes 1 year ahead:

We asked our AI model, dbLumina, to analyse the impact of the themes for the quarter. The 'positive' and 'negative' indicators are relative to expectations at the beginning of the quarter. For example, a net negative score for the S&P 500 does not mean we expect the index to fall. Rather it means we see the rising probability that returns will be lower than previously expected.



| Theme                                   | GDP Growth          | S&P 500             | Interest Rates <sup>1</sup> | Inflation <sup>1</sup> |
|-----------------------------------------|---------------------|---------------------|-----------------------------|------------------------|
| 1. Heightened geopolitical conflict     | Negative            | Negative            | Higher                      | Higher                 |
| 2. Sustained inflationary pressures     | Negative            | Negative            | Strongly higher             | Strongly higher        |
| 3. Divergence in global monetary policy | Mixed               | Volatile            | Divergent                   | Divergent              |
| 4. Prominence and risks of AI           | Slightly positive   | Positive            | Neutral to higher           | Neutral to higher      |
| 5. Shifting global trade & alliances    | Neutral to negative | Neutral to negative | Neutral                     | Neutral                |
| 6. Rise of 'Middle Power Countries'     | Neutral             | Neutral             | Neutral                     | Neutral                |
| 7. Political fragmentation in Europe    | Slightly negative   | Negative            | Neutral                     | Neutral                |
| 8. Scrutiny of AI and "Big Tech"        | Neutral             | Negative            | Neutral                     | Neutral                |
| 9. Debt sustainability concerns         | Slightly negative   | Slightly negative   | Slightly higher             | Slightly higher        |
| 10. Tech and semiconductor volatility   | Neutral             | Volatile            | Neutral                     | Neutral                |

|                                                                      | GDP Growth | S&P 500 | Interest Rates <sup>2</sup> | Inflation <sup>2</sup> |
|----------------------------------------------------------------------|------------|---------|-----------------------------|------------------------|
| Sum of positive/negative indicators (positive is +1, negative is -1) | -4         | -5      | -5                          | -5                     |

1) For interest rates and inflation, "positive" implies upward pressure on rates/prices

2) A score >0 for interest rates and inflation is 'good' ie. they are expected to go lower.

Source: Deutsche Bank

## The impact of today's themes 3 years ahead:

The medium-term picture is far more optimistic than the short-term picture. The implicit assumption is that the macro and geopolitical volatility that is currently weighing on markets will either resolve itself over the coming 3 years or become normalised enough that the underlying earnings power of the US economy will drive equity markets ahead and, to a lesser extent, economy growth.



| Theme                                   | GDP Growth                   | S&P 500                      | Interest Rates <sup>1</sup> | Inflation <sup>1</sup> |
|-----------------------------------------|------------------------------|------------------------------|-----------------------------|------------------------|
| 1. Heightened geopolitical conflict     | Slightly negative to neutral | Neutral                      | Stabilising                 | Moderating             |
| 2. Sustained inflationary pressures     | Neutral                      | Neutral to slightly positive | Structurally higher         | Stabilised but higher  |
| 3. Divergence in global monetary policy | Converging                   | Positive                     | Converging                  | Converging             |
| 4. Prominence and risks of AI           | Strongly positive            | Strongly positive            | Uncertain                   | Lower                  |
| 5. Shifting global trade & alliances    | Slightly positive            | Positive                     | Neutral                     | Neutral                |
| 6. Rise of 'Middle Power Countries'     | Slightly positive            | Slightly positive            | Neutral                     | Neutral                |
| 7. Political fragmentation in Europe    | Uncertain                    | Uncertain                    | Neutral                     | Neutral                |
| 8. Scrutiny of AI and "Big Tech"        | Neutral                      | Neutral                      | Neutral                     | Neutral                |
| 9. Debt sustainability concerns         | Strongly negative            | Strongly negative            | Highly volatile             | Highly volatile        |
| 10. Tech and semiconductor volatility   | Neutral                      | Less volatile                | Neutral                     | Neutral                |

|                                                                      | GDP Growth | S&P 500 | Interest Rates <sup>2</sup> | Inflation <sup>2</sup> |
|----------------------------------------------------------------------|------------|---------|-----------------------------|------------------------|
| Sum of positive/negative indicators (positive is +1, negative is -1) | +1         | +5      | -1                          | Nil                    |

1) For interest rates and inflation, "positive" implies upward pressure on rates/prices

2) A score >0 for interest rates and inflation is 'good' ie. they are expected to go lower.

Source: Deutsche Bank

# Appendix 1



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